

“What is the probability of death from a plane crash?” for instance, they will raise it. However, Slovic and his colleagues found, in insurance patterns, neglect of these highly improbable events in people’s insurance purchases. They call it the “preference for insuring against probable small losses”—at the expense of the less probable but larger impact ones.

Finally, after years of searching for empirical tests of our scorn of the abstract, I found researchers in Israel that ran the experiments I had been waiting for. Greg Barron and Ido Erev provide experimental evidence that agents underweigh small probabilities when they engage in sequential experiments in which *they derive the probabilities themselves*, when they are not supplied with the odds. If you draw from an urn with a very small number of red balls and a high number of black ones, and if you do not have a clue about the relative proportions, you are likely to underestimate the number of red balls. It is only when you are supplied with their frequency—say, by telling you that 3 percent of the balls are red—that you overestimate it in your betting decision.

I’ve spent a lot of time wondering how we can be so myopic and shorttermist yet survive in an environment that is not entirely from Mediocristan. One day, looking at the gray beard that makes me look ten years older than I am and thinking about the pleasure I derive from exhibiting it, I realized the following. Respect for elders in many societies might be a kind of compensation for our short-term memory. The word *senate* comes from *senatus*, “aged” in Latin; *sheikh* in Arabic means both a member of the ruling elite and “elder.” Elders are repositories of complicated inductive learning that includes information about rare events. Elders can scare us with stories—which is why we become overexcited when we think of a *specific* Black Swan. I was excited to find out that this also holds true in the animal kingdom: a paper in *Science* showed that elephant matriarchs play the role of superadvisers on rare events.

We learn from repetition—at the expense of events that have not happened before. Events that are nonrepeatable are ignored before their occurrence, and overestimated after (for a while). After a Black Swan, such as September 11, 2001, people expect it to recur when in fact the odds of that happening have arguably been lowered. We like to think about *specific* and known Black Swans when in fact the very nature of randomness lies in its abstraction. As I said in the Prologue, it is the wrong definition of a god.

The economist Hyman Minsky sees the cycles of risk taking in the economy as following a pattern: stability and absence of crises encourage risk taking, complacency, and lowered awareness of the possibility of problems. Then a crisis occurs, resulting in people being shell-shocked and scared of investing their resources. Strangely, both Minsky and his school, dubbed Post-